EXERCISES: SET B

E2-1B Aby Bazil has prepared the following list of statements about accounts.

Analyze statements about accounting and the recording process.

(LO 1)

1. An account is an accounting record of either a specific asset or a specific owner's equity item.
2. An account shows both increases and decreases in the item it relates to.
3. Some items, such as Accounts Payable and Accounts Receivable, are combined into one account.
4. An account has a left, or debit side, and a right, or credit side.
5. A simple form of an account consisting of just the account title, and one column, is called a T-account.

Instructions

Identify each statement as true or false. If false, indicate how to correct the statement.

E2-2B Selected transactions for B. Dawes, an interior decorator, in her first month of business, are as follows.

Identify debits, credits, and normal balances.

(LO 1)

Jan.	2	Invested $20,000 cash in business.
	3	Paid $500 cash for advertising.
	9	Purchased equipment for $7,000 cash.
	11	Billed customers $2,300 for services performed.
	16	Purchased supplies on account for $700.
	20	Received $1,100 cash from customers billed on January 11.
	23	Paid creditor $400 cash on balance owed.
	28	Withdrew $1,200 cash for personal use by owner.

Instructions

For each transaction indicate the following.

(a) The basic type of account debited and credited (asset, liability, owner's equity).
(b) The specific account debited and credited (cash, rent expense, service revenue, etc.).
(c) Whether the specific account is increased or decreased.
(d) The normal balance of the specific account.

Use the following format, in which the January 2 transaction is given as an example.

	Account Debited				Account Credited			
Date	(a) Basic Type	(b) Specific Account	(c) Effect	(d) Normal Balance	(a) Basic Type	(b) Specific Account	(c) Effect	(d) Normal Balance
Jan. 2	Asset	Cash	Increase	Debit	Owner's Equity	Owner's Capital	Increase	Credit

E2-3B Data for B. Dawes, interior decorator, are presented in E2-2B.

Journalize transactions.

(LO 2)

Instructions

Journalize the transactions using journal page J1. (You may omit explanations.)

E2-4B Presented below is information related to West Lake Real Estate Agency.

Analyze transactions and determine their effect on accounts.

(LO 1)

Oct.	1	Paul Ebu begins business as a real estate agent with a cash investment of $22,000.
	2	Paid rent, $700, on office space.
	3	Purchases office furniture for $2,800, on account.
	6	Sells a house and lot for Jane Hung; bills Jane Hung $5,400 for realty services provided.
	27	Pays $1,100 on the balance related to the transaction of October 3.
	30	Receives bill for October utilities, $180 (not paid at this time).

Instructions

Prepare the debit-credit analysis for each transaction as illustrated on pages xx–xx.

E2-5B Transaction data for West Lake Real Estate Agency are presented in E2-4B.

Journalize transactions.

(LO 2)

Instructions

Journalize the transactions. (You may omit explanations.)

Analyze transactions and journalize.
(LO 1, 2)

E2-6B Bluma Industries had the following transactions.

1. Borrowed $15,000 from the bank by signing a note.
2. Paid $3,100 cash for a computer.
3. Paid $900 for rent.

Instructions
(a) Indicate what accounts are increased and decreased by each transaction.
(b) Journalize each transaction. (Omit explanations).

Analyze transactions and journalize.
(LO 1, 2)

E2-7B Shirley Enterprises had the following selected transactions.

1. Shirley Estrada invested $6,000 cash in the business.
2. Purchased $1,100 of supplies on account.
3. Performed consulting services and billed a client $4,500.
4. Shirley Estrada withdrew $1,200 cash for personal use.

Instructions
(a) Indicate the effect each transaction has on the basic accounting equation (Assets = Liabilities + Owner's Equity), using plus and minus signs.
(b) Journalize each transaction. (Omit explanations).

Analyze statements about the ledger and the general journal.
(LO 3)

E2-8B Al Eby has prepared the following list of statements about the general ledger.

1. The general ledger contains all the liability and owners' equity accounts, but no asset accounts.
2. The general ledger is sometimes referred to as simply the journal.
3. The accounts in the general ledger are arranged in alphabetical order.
4. Each account in the general ledger is numbered for easier identification.
5. The general journal is a book of original entry.

Instructions
Identify each statement as true or false. If false, indicate how to correct the statement.

Post journal entries and prepare a trial balance.
(LO 3, 4)

E2-9B Selected transactions from the journal of Bret Quandt, investment broker, are presented below.

Date	Account Titles and Explanation	Ref.	Debit	Credit
Aug. 1	Cash		6,000	
	Owner's Capital			6,000
	(Owner's investment of cash in business)			
10	Cash		1,700	
	Service Revenue			1,700
	(Received cash for services performed)			
12	Equipment		6,000	
	Cash			1,000
	Notes Payable			5,000
	(Purchased equipment for cash and notes payable)			
25	Accounts Receivable		2,500	
	Service Revenue			2,500
	(Billed clients for services performed)			
31	Cash		1,500	
	Accounts Receivable			1,500
	(Receipt of cash on account)			

Instructions
(a) Post the transactions to T accounts.
(b) Prepare a trial balance at August 31, 2017.

E2-10B The T accounts below summarize the ledger of Carrie's Gardening Company at the end of the first month of operations.

Journalize transactions from account data and prepare a trial balance.

(LO 2, 4)

Cash			No. 101
4/1	18,000	4/15	700
4/12	1,200	4/25	1,600
4/29	900		
4/30	1,400		

Accounts Receivable			No. 112
4/7	2,900	4/29	900

Supplies			No. 126
4/4	1,900		

Accounts Payable			No. 201
4/25	1,600	4/4	1,900

Unearned Service Revenue			No. 209
		4/30	1,400

Owner's Capital			No. 301
		4/1	18,000

Service Revenue			No. 400
		4/7	2,900
		4/12	1,200

Salaries and Wages Expense			No. 726
4/15	700		

Instructions

(a) Prepare the complete general journal (including explanations) from which the postings to Cash were made.

(b) Prepare a trial balance at April 30, 2017.

E2-11B Presented below is the ledger for Nolasko Co.

Journalize transactions from account data and prepare a trial balance.

(LO 2, 4)

Cash			No. 101
10/1	8,500	10/4	400
10/10	800	10/12	1,500
10/10	3,000	10/15	250
10/20	450	10/30	300
10/25	2,000	10/31	500

Accounts Receivable			No. 112
10/6	800	10/20	450
10/20	1,070		

Supplies			No. 126
10/4	400		

Equipment			No. 157
10/3	2,000		

Notes Payable			No. 200
		10/10	3,000

Accounts Payable			No. 201
10/12	1,500	10/3	2,000

Owner's Capital			No. 301
		10/1	8,500
		10/25	2,000

Owner's Drawings			No. 306
10/30	300		

Service Revenue			No. 400
		10/6	800
		10/10	800
		10/20	1,070

Salaries and Wages Expense			No. 726
10/31	500		

Rent Expense			No. 729
10/15	250		

Instructions

(a) Reproduce the journal entries for the transactions that occurred on October 1, 10, and 20, and provide explanations for each.

(b) Determine the October 31 balance for each of the accounts above, and prepare a trial balance at October 31, 2017.

Prepare journal entries and post using standard account form.

(LO 2, 3)

E2-12B Selected transactions for Reyes Company during its first month in business are presented below.

Sept. 1 Invested $25,000 cash in the business.
5 Purchased equipment for $30,000 paying $7,500 in cash and the balance on account.
25 Paid $6,500 cash on balance owed for equipment.
30 Withdrew $1,000 cash for personal use.

Reyes's chart of accounts shows: No. 101 Cash, No. 157 Equipment, No. 201 Accounts Payable, No. 301 Owner's Capital, No. 306 Owner's Drawings.

Instructions

(a) Journalize the transactions on page J1 of the journal. (Omit explanations).
(b) Post the transactions using the standard account form.

Analyze errors and their effects on trial balance.

(LO 4)

E2-13B The bookkeeper for Linebarger Electronic Repair made a number of errors in journalizing and posting, as described below.

1. A credit posting of $500 to Accounts Receivable was omitted.
2. A debit posting of $750 for Insurance Expense was debited to Prepaid Insurance.
3. A collection from a customer of $200 in payment of its account owed was posted as a debit to Cash $200 and a debit to Service Revenue $200.
4. A debit posting of $400 to Property Taxes Payable was made twice.
5. A cash purchase of supplies for $250 was journalized and posted as a debit to Supplies $25 and a credit to Cash $25.
6. A debit of $594 to Advertising Expense was posted as $549.

Instructions

For each error:

(a) Indicate whether the trial balance will balance.
(b) If the trial balance will not balance, indicate the amount of the difference.
(c) Indicate the trial balance column that will have the larger total.

Consider each error separately. Use the following form, in which error (1) is given as an example.

Error	(a) In Balance	(b) Difference	(c) Larger Column
(1)	No	$500	debit

Prepare a trial balance.

(LO 1, 4)

E2-14B The accounts in the ledger of Moran Delivery Service contain the following balances on July 31, 2017.

Accounts Receivable	$ 5,220	Prepaid Insurance	$ 1,190
Accounts Payable	5,110	Maintenance and Repairs Expense	580
Cash	?	Service Revenue	6,360
Equipment	30,000	Owner's Drawings	420
Gasoline Expense	450	Owner's Capital	26,780
Insurance Expense	310	Salaries and Wages Expense	2,660
Notes Payable	16,000	Salaries and Wages Payable	490

Instructions

Prepare a trial balance with the accounts arranged as illustrated in the chapter and fill in the missing amount for Cash.